CBA's profit is up, but more borrowers are falling behind

> Australia's biggest bank lifted its quarterly profit, but home loan arrears rose and applications for new home loans dropped sharply as higher rates squeeze households.

WHAT HAPPENED

- CBA's unaudited first-quarter **cash profit was about A$2.8bn**, up 8% on a year earlier.
- **Home loan arrears** rose 7 basis points to **0.8%**.
- **Home loan applications fell 16%** over the year, though home lending still grew 6.6% and business lending 13.6%.
- The **loan impairment expense** (provision for bad debts) was A$300m, more than analysts expected.
- CEO Matt Comyn said higher inflation and interest rates are hitting some households and businesses much harder than others.

A$2.8bn
Q1 cash profit (+8% y/y)

0.8%
Home loans in arrears (+7 bps)

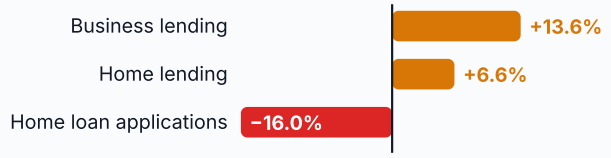
−16%
Home loan applications, y/y

A$300m
Loan impairment expense

Arrears: loan repayments that are overdue (here, 90+ days).
Basis point: one-hundredth of a percentage point; 7 bps = 0.07 percentage points.

BAR CHART

Lending still growing, but demand for new mortgages is falling (% change)



Existing loan books are still growing, but **new demand** is falling fast – a leading sign that credit growth will slow.

Rising **arrears** show that higher rates are not felt evenly: recent buyers with large loans feel the most pressure, while the bank's profits rise.

Exam angle: Rising interest rates **redistribute income** from borrowers to lenders and savers. That is one reason monetary policy is described as a blunt instrument.

WINNERS AND LOSERS

Who gains and who loses when rates rise

Gain

- **Savers** earn higher deposit rates.
- **Bank shareholders** – profits are holding up.

Lose

- **Recent home buyers** with large mortgages.
- **Would-be buyers** – borrowing capacity shrinks.

SYLLABUS LINK
Topic 3 – Distribution of income and wealth; effects of economic conditions on households. Links to Topic 4 – the effects of monetary policy.

TRY THIS
Discuss how rising interest rates affect the distribution of income and wealth in Australia.
(6 MARKS)

Sources — ABC News business live blog, 11 Nov 2026: abc.net.au/news/2026-11-11/asx-markets-business-live-news-nov-11/107370848